SCHEDULE 20/20

 N

2005 RESIDENTIAL & SMALL BUSINESS 20/20 PROGRAM

APPLICABILITY N

This Schedule is applicable, in combination with the customer's otherwise applicable rate schedule, to all metered bundled-service residential customers and small commercial customers with peak demands of less than 20kW. Eligible customers may participate in the 2005 Residential & Small Business 20/20 Program if they have maintained an account at the same premises since June 30, 2004 and for the four billing cycles including July 1, 2005 through October 31, 2005. California Alternate Rates for Energy (CARE) customers and those customers participating in a 2005 demand response program are also eligible for the Residential & Small Business 20/20 Program. Direct Access customers, Community Choice Aggregation (CCA) customers, customers with less than one year bill history at the same premise, and electric generators are not eligible for service under this Schedule.

TERRITORY

Within the entire territory served by the Utility.

RATES

A 20 percent (20%) rate reward (bill credit) will be provided to eligible customers based on a reduction of at least 20% in average daily energy usage for the period July, August, September, and October of 2005 when compared to the customer's Historical Base Usage for the comparable period in 2004. The customer's bill will be calculated according to the customer's otherwise applicable tariff and the Utility will issue a credit to qualifying customers equal to 20% of the total electric charges, excluding taxes and surcharges, billed during the months of July, August, September, and October 2005. The credit will be applied to the customer's November or December 2005 billing statement, depending on the customer's billing cycle.

SPECIAL CONDITIONS

1. Definitions: The Definitions of terms used in this schedule are found either herein or in Rule 1.

2. Historical Base Usage: The Historical Base Usage shall be the average use per day, as measured in kWh, for the corresponding billing period in 2004. The Utility is not required to adjust a customer's Historical Base Usage.

3. Rate Reward (Bill Credit) Adjustments: No provisions are to be made for significant observed energy and demand reductions that fall short of meeting the 20% qualification standard. A minimum reduction of 20% for the four billing cycles including July 1, 2005 through October 31, 2005 is required to receive the 20% bill credit. Customers exceeding 20% reductions will only be rewarded a 20% bill credit. Calculations for percentage reductions will be rounded to the nearest whole number for purposes of determining who qualifies for the bill credit. However, figures displayed on customer bills in the section titled "Your Energy Usage History" will be displayed to one decimal place. For example, a customer whose percentage of reduction was 19.4% would see this figure in the Percent Change column of Energy Usage History and would not receive a bill credit. A customer whose percentage reduction was in excess of 19.5% would see this figure in the Percent Change column and, additionally, would receive a 20% bill credit as a separate line item in the "Other Account Charges" section of their bill.

N

(Continued)

SCHEDULE 20/20

 N

2005 RESIDENTIAL & SMALL BUSINESS 20/20 PROGRAM

SPECIAL CONDITIONS (Continued) N

4. Multiple/Summary Accounts: For customers with multiple accounts, summary billings, or multiple meters at a premises, the 20% bill credit is calculated and applied, if applicable, to each individual service account.

5. Dispute Resolution: Any disputes arising from the provision of service under this Schedule or other aspects of the 2005 Residential & Small Business 20/20 Program will be deemed to be disputes over amounts billed for electricity and will be handled as provided for in the Utility's Rule 10, Disputes.

6. Self-Generation Exclusion: The self-generation exclusion applies to any customer who is a Departing Load customer as defined by Rule 23, a customer operating a generating facility or any customer served under Schedule S, Standby, or who receives Net Energy Metering.

7. Meter Reads: The Utility will normally read meters each month with minor exceptions. If, because of unusual conditions or for reasons beyond the Utility's control, the customer's meter cannot be read on the scheduled reading date, or if for any reason accurate meter data is not available, the Utility will make estimates in a manner consistent with its applicable tariff rules.

8. Conservation Programs: Customers participating in existing conservation programs will be eligible to participate in the 2005 Residential & Small Business 20/20 Program and any benefits to such customers from such other programs shall be considered additive to the benefits of the 2005 Residential & Small Business 20/20 Program.

9. Master-Metered Customers: For master-metered customers, the 20% rate reward (bill credit) shall be determined by usage measured by the master meter. Master-metered customers, including mobile home park owners with sub-metered tenants, receiving a rate reward, shall distribute the rate reward to sub-metered tenants consistent with Public Utilities Code Section 739.5(b). N